

care how many times you gain or lose, you care about the cumulative, the expectation: how many times you gain or lose *times* the amount made or lost. There are even more complex decisions (for instance, when one is involved with debt) but I will skip them here.

We also care about which

A. Event generators belong to Mediocristan (i.e., it is close to impossible for very large deviations to take place), an a priori assumption.

B. Event generators belong to Extremistan (i.e., very large deviations are possible, or even likely).

Which provides the four quadrants of the map.

THE FOURTH QUADRANT, A MAP

First Quadrant. Simple binary payoffs, in Mediocristan: forecasting is safe, life is easy, models work, everyone should be happy. These situations are, unfortunately, more common in laboratories and games than in real life. We rarely observe these in payoffs in economic decision making. Examples: some medical decisions (concerning one single patient, not a population), casino bets, prediction markets.

TABLE 1: TABLEAU OF DECISIONS BY PAYOFF	
M0 "True/False"	M1 Expectations
Medical results for one person (health, not epidemics)	Epidemics (number of persons infected)
Psychology experiments (yes/no answers)	Intellectual and artistic success (defined as book sales, citations, etc.)
Life/Death (for a single person, not for n persons)	Climate effects (any quantitative metric)
Symmetric bets in roulette	War damage (number of casualties)
Prediction markets	Security, terrorism, natural catastrophes (number of victims)
	General risk management
	Finance: performance of a nonleveraged investment (say, a retirement account)
	Insurance (measures of expected losses)
	Economics (policy)
	Casinos

Second Quadrant. Complex payoffs in Mediocristan: statistical methods may work satisfactorily, though there are some risks. True, use of Mediocristan models may not be a panacea, owing to preasymptotics, lack of independence, and model error. There clearly are problems here, but these have been addressed extensively in the literature, particularly